

Q1. Examine the importance of the following in the changing business environment: (a) Inflation Accounting (b) Social Responsibility Accounting (c) Human Resource Accounting (d) Forensic Accounting

(a) Importance of Inflation Accounting - Inflation accounting adjusts financial statements to reflect changes in the **price level** due to inflation.
Importance:

- Shows **true profit** by removing the effect of rising prices
- Prevents **overstatement of profits and assets**
- Helps management in **realistic planning and decision-making**
- Improves **comparability** of financial statements over time
- Useful for investors and government during periods of **high inflation**

(b) Importance of Social Responsibility Accounting - Social responsibility accounting measures a firm's **social and environmental costs and benefits**.

Importance:

- Promotes **ethical business practices**
- Helps companies meet **environmental and social obligations**
- Improves **corporate image and goodwill**
- Assists government and society in assessing **social contribution**
- Encourages **sustainable development**

(c) Importance of Human Resource Accounting - Human resource accounting measures the **value of employees** to the organisation.

Importance:

- Recognizes employees as **valuable assets**, not just expenses
- Helps in **better manpower planning and training decisions**
- Improves **employee motivation and morale**
- Assists management in measuring **return on human capital**
- Useful in performance evaluation and strategic planning

(d) Importance of Forensic Accounting - Forensic accounting involves **investigation of financial records** to detect fraud and financial crimes.

Importance:

- Helps in **detecting and preventing frauds and scams**
- Provides **reliable evidence** in legal cases
- Enhances **corporate governance and transparency**
- Builds **investor and stakeholder confidence**
- Very useful in the era of **digital transactions and cyber crimes**

Q2. Define Financial Statements Analysis. Explain in what ways such an analysis benefits managerial personnel, creditors, government and their agencies and owners.

Financial Statements Analysis is the systematic process of **examining and interpreting financial statements** (such as Balance Sheet, Profit & Loss Account and Cash Flow Statement) to understand the **financial performance, profitability, liquidity and financial position** of a business for decision-making.

Benefits of Financial Statements Analysis

(a) Benefits to Managerial Personnel

- Helps in **planning and forecasting** future operations
- Assists in **decision-making** related to pricing, investment and expansion
- Identifies **strengths and weaknesses** of the business
- Helps in **cost control and performance evaluation**
- Supports effective **budgeting and financial control**

(b) Benefits to Creditors

- Helps in assessing the **creditworthiness** of the business
- Indicates the firm's **liquidity position** and ability to repay loans
- Assists in deciding **terms and amount of credit**
- Reduces the **risk of bad debts**
- Useful for monitoring the **financial stability** of the borrower

(c) Benefits to Government and its Agencies

- Helps in **tax assessment and verification**
- Useful for **economic planning and policy formulation**
- Assists regulatory authorities in **monitoring compliance**
- Provides data for **industry analysis and statistics**
- Helps in detecting **financial irregularities**

(d) Benefits to Owners (Shareholders)

- Helps in knowing the **profitability and financial health** of the company
- Assists in **investment decisions** (buy, hold or sell shares)
- Indicates the **earning capacity and dividend potential**
- Enables comparison with **other companies**
- Builds confidence in **management performance**

Q3. What is Funds Flow Statement ? How is it prepared ? Examine its managerial uses.

A **Funds Flow Statement** is a financial statement that shows the **sources and applications of funds** during a particular period. Here, **funds mean working capital**, i.e., the difference between **current assets and current liabilities**.

It explains **how funds were obtained and how they were used** between two balance sheet dates.

Preparation of Funds Flow Statement - The preparation involves the following steps:

Step 1: Prepare Schedule of Changes in Working Capital

- Calculate increase or decrease in **current assets and current liabilities**
- Find the **net change in working capital**

Step 2: Calculate Funds from Operations

- Start with **net profit**
- Add non-cash expenses (depreciation, amortisation, etc.)
- Subtract non-operating incomes (profit on sale of assets, etc.)

Step 3: Prepare Funds Flow Statement

- List **Sources of Funds**, such as: Funds from operations, Issue of shares or debentures, Sale of fixed assets, Long-term loans raised
- List **Applications of Funds**, such as: Purchase of fixed assets, Redemption of shares or debentures, Repayment of long-term loans, Payment of dividends and taxes

Managerial Uses of Funds Flow Statement

- Helps management understand **movement of funds**
- Assists in **financial planning and budgeting**
- Evaluates **working capital management**
- Helps in **decision-making** regarding investments and financing
- Shows reasons for **changes in financial position**
- Useful for assessing **long-term financial stability**

Q4. Discuss the nature and elements of capital budgeting. Explain the major drawbacks of various capital budgeting techniques.

Capital Budgeting is the process of **planning and evaluating long-term investment decisions** involving large amounts of funds, such as purchase of machinery, expansion, replacement of assets and new projects. Its objective is to **select the most profitable investment** and maximise the value of the firm.

Nature of Capital Budgeting

1. **Long-Term Investment Decisions** - Capital budgeting involves investments whose benefits are received over **many years**.
2. **Large Amount of Funds** - These decisions require **huge capital outlay**.
3. **Irreversible Decisions** - Once made, capital investment decisions are **difficult to reverse**.
4. **High Degree of Risk and Uncertainty** - Future returns are uncertain due to changes in **technology, market and economy**.
5. **Strategic Importance** - Capital budgeting decisions affect the **future growth and survival** of the firm.

Elements of Capital Budgeting

1. **Investment Proposal Generation** - Identification of **profitable investment opportunities**.
2. **Estimation of Cash Flows** - Forecasting **future cash inflows and outflows** of the project.
3. **Evaluation of Proposals** - Appraisal of projects using different **capital budgeting techniques**.
4. **Selection of Project** - Choosing the project that gives **maximum benefit**.
5. **Implementation of Project** - Execution of the selected investment plan.
6. **Review and Control** - Post-completion review to compare **actual results with estimates**.

Drawbacks of Capital Budgeting Techniques

1. Payback Period Method

- Ignores **time value of money**
- Ignores **cash flows after payback period**
- Not a true measure of profitability

2. Average Rate of Return (ARR) Method

- Ignores **time value of money**
- Based on **accounting profits**, not cash flows
- Results may vary due to different accounting policies

3. Net Present Value (NPV) Method

- Difficult to estimate **future cash flows accurately**
- Selection of **discount rate** is subjective
- Difficult to use for **projects of unequal size**

4. Internal Rate of Return (IRR) Method

- Difficult to calculate and understand
- Gives **multiple IRRs** in case of non-conventional cash flows
- May give misleading results when comparing projects of different sizes

5. Profitability Index (PI) Method

- Difficult to calculate
- May not give correct ranking when **capital is limited**. Depends heavily on **discount rate accuracy**

Q5. What do you mean by ‘Liquidity ratios’ and ‘Profitability ratios’ ? How are these ratios calculated?

Liquidity Ratios - Liquidity ratios measure the ability of a business to meet its short-term obligations (current liabilities) using its current assets. These ratios show the short-term financial strength of the firm.

Important Liquidity Ratios and Their Calculation

1. **Current Ratio**

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

2. **Quick Ratio (Acid-Test Ratio)**

$$\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{Current Liabilities}}$$

Quick Assets = Current Assets – Inventory – Prepaid Expenses

3. **Cash Ratio**

$$\text{Cash Ratio} = \frac{\text{Cash} + \text{Bank} + \text{Marketable Securities}}{\text{Current Liabilities}}$$

Profitability Ratios - Profitability ratios measure the ability of a business to **earn profits** in relation to sales, assets and capital employed. These ratios show the **earning capacity and efficiency** of the business.

Important Profitability Ratios and Their Calculation

1. **Gross Profit Ratio**

$$\text{Gross Profit Ratio} = \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$$

2. **Net Profit Ratio**

$$\text{Net Profit Ratio} = \frac{\text{Net Profit}}{\text{Net Sales}} \times 100$$

3. **Operating Profit Ratio**

$$\text{Operating Profit Ratio} = \frac{\text{Operating Profit}}{\text{Net Sales}} \times 100$$

4. **Return on Capital Employed (ROCE)**

$$\text{ROCE} = \frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100$$

5. **Return on Assets (ROA)**

$$\text{ROA} = \frac{\text{Net Profit}}{\text{Total Assets}} \times 100$$

Q6. Discuss the nature and scope of financial management. Examine the role of finance function in an organization.

Financial Management is concerned with the **planning, organising, directing and controlling of financial activities** of an organisation, such as procurement and utilisation of funds, with the objective of **maximising shareholders' wealth**.

Nature of Financial Management

1. **Managerial in Nature** -It is a part of overall management and involves **decision-making** regarding finance.
2. **Continuous Process** - Financial management is not a one-time activity; it is a **regular and ongoing process**.
3. **Concerned with Funds** - It deals with **acquisition, allocation and utilisation of funds**.
4. **Objective-Oriented** - The main objective is **wealth maximisation** and financial soundness.
5. **Forward-Looking** - It involves **planning and forecasting** future financial requirements.
6. **Risk and Return Relationship** - Financial decisions always involve a **trade-off between risk and return**.

Scope of Financial Management

1. **Investment Decision (Capital Budgeting)** - Decision regarding investment in **fixed assets and projects**.
2. **Financing Decision** - Decision regarding **sources of finance**—equity, preference shares, debentures, loans, etc.
3. **Dividend Decision** - Decision regarding **distribution of profits** between dividends and retained earnings.
4. **Working Capital Management** - Management of **current assets and current liabilities** to ensure liquidity.
5. **Financial Control** - Includes budgeting, cost control, ratio analysis and internal control.

Role of Finance Function in an Organisation

1. **Estimating Financial Requirements** - Determining the **short-term and long-term fund needs** of the organisation.
2. **Raising Funds** -Selecting appropriate **sources of finance** at minimum cost.
3. **Utilisation of Funds** - Ensuring **proper and efficient use of funds** to avoid wastage.
4. **Maintaining Liquidity** - Ensuring availability of cash to meet **day-to-day obligations**.
5. **Financial Planning and Control** - Preparing budgets and analysing financial performance.
6. **Maximising Wealth** - Taking financial decisions that **increase the value of the firm**.
7. **Co-ordination with Other Departments** - Finance function supports **production, marketing and HR activities**.

Q7. “The excess of current assets over current liabilities is the net current assets or working capital.” Elucidate the statement with suitable examples. Also explain the factors that determine working capital needs of a firm.

Working Capital is the **excess of current assets over current liabilities**. It is also called **Net Current Assets**.

Working Capital = Current Assets - Current Liabilities

Current Assets include: Cash, Bank Balance, Debtors, Inventory, Bills Receivable, Short-term Investments.

Current Liabilities include: Creditors, Bills Payable, Short-term Loans, Outstanding Expenses, Bank Overdraft.

Elucidation of the Statement with Examples

Example 1: Positive Working Capital

Current Assets = ₹6,00,000, Current Liabilities = ₹4,00,000

$$\text{Working Capital} = 6,00,000 - 4,00,000 = ₹2,00,000$$

This shows the firm has **sufficient short-term funds** to meet its obligations.

Example 2: Negative Working Capital

Current Assets = ₹3,00,000, Current Liabilities = ₹4,50,000

$$\text{Working Capital} = 3,00,000 - 4,50,000 = -₹1,50,000$$

This indicates **liquidity problems** and poor short-term financial position.

Thus, **working capital represents the short-term financial strength** of a business.

Factors Determining Working Capital Needs of a Firm

1. **Nature of Business** - Manufacturing firms need **more working capital** than trading or service firms.
2. **Size of Business** - Large-scale firms require **more working capital**.
3. **Production Cycle** - Longer production process means **higher working capital requirement**.
4. **Business Cycle** - During **boom period**, more working capital is required; during recession, less.
5. **Credit Policy** - Liberal credit to customers increases **debtors** and working capital needs.
6. **Inventory Management** - Higher inventory levels require **more working capital**.
7. **Turnover of Working Capital** - Faster turnover reduces working capital requirement.
8. **Availability of Credit** - Easy availability of trade credit reduces working capital needs.
9. **Operating Efficiency** - Efficient management reduces **wastage and blockage of funds**.

Q8. How does credit policy of a firm influence the following variables on the net profit of the firm? (a) Credit Standards

(b) Credit Period (c) Cash Discount (d) Collection Effort

Credit policy refers to the guidelines followed by a firm in **granting credit to customers**, collecting dues and offering discounts. It directly affects **sales, costs, risk and profitability**.

Impact of Credit Policy Variables on Net Profit

(a) **Credit Standards**

Credit standards determine **who is allowed to buy on credit**.

Effect on Net Profit:

- **Relaxed credit standards** → More sales → Higher profit, but also **higher bad debts and collection cost**
- **Strict credit standards** → Lower bad debts → Reduced sales and possibly **lower profit**

Net profit depends on the **balance between extra sales and extra costs**.

(b) **Credit Period**

Credit period is the time allowed to customers to make payment.

Effect on Net Profit:

- **Longer credit period** → Increase in sales → Higher interest cost and risk of bad debts
- **Shorter credit period** → Lower sales but **less investment in debtors**

Net profit increases only if **additional profit from sales exceeds additional cost**.

(c) **Cash Discount**

Cash discount is a reduction in price to encourage **early payment**.

Effect on Net Profit:

- Encourages **quick collection of receivables**
- Reduces **investment in debtors and bad debts**
- But increases **cost due to discount given**

Net profit rises if **savings in cost are more than discount allowed**.

(d) **Collection Effort**

Collection effort refers to actions taken to **recover dues from customers**.

Effect on Net Profit:

- **Strong collection effort** → Lower bad debts → Better cash flow → Higher profit
- But increases **collection expenses**
- **Weak collection effort** → Low cost but high bad debts → Lower profit

Net profit improves when **reduction in bad debts exceeds extra collection cost**.

Q9. Write short notes on the following : (a) Going concern (b) Accrual (c) Matching (d) Conservatism (e) Materiality
(a) Going Concern - The **going concern** concept assumes that a business will **continue its operations for the foreseeable future** and has no intention to liquidate or close down.

- Importance:**
- Assets are valued at **cost**, not at market value
 - Expenses are spread over their **useful life**
 - Basis for preparation of financial statements

(b) Accrual - The **accrual** concept states that **income and expenses are recorded when they are earned or incurred**, not when cash is received or paid.

- Importance:**
- Shows **true profit** of the business
 - Records **outstanding and prepaid expenses**
 - Provides a more accurate financial position

(c) Matching - The **matching** concept states that **expenses should be matched with the revenues** of the same accounting period.

- Importance:**
- Helps in correct **profit measurement**
 - Prevents overstatement or understatement of profit
 - Closely related to the **accrual concept**

(d) Conservatism - The **conservatism** concept follows the rule: **“Anticipate no profits but provide for all possible losses.”**

- Importance:**
- Prevents **overstatement of income and assets**
 - Ensures **prudence and caution** in accounting
 - Recognizes **expected losses but not unrealised gains**

(e) Materiality - The **materiality** concept states that only **important (material) items** that can influence decision-making should be shown separately in financial statements.

- Importance:**
- Avoids unnecessary details
 - Helps in **clear and meaningful presentation**
 - Small and insignificant items are treated simply

Q10. Explain the following terms with an example of each : (a) Tangible and Intangible Assets (b) Current Assets and Current Liabilities (c) Reserves and Provisions (d) Contingent Assets and Contingent Liabilities

(a) Tangible and Intangible Assets

Tangible Assets - **Tangible assets** are assets that have **physical existence** and can be seen and touched.

Examples: Land, Building, Machinery, Furniture

Intangible Assets - **Intangible assets** are assets that **do not have physical existence** but have value.

Examples: Goodwill, Patents, Trademarks, Copyrights

(b) Current Assets and Current Liabilities

Current Assets - **Current assets** are assets that are **expected to be converted into cash within one year** or within the operating cycle.

Examples: Cash, Debtors, Inventory (Stock), Bills Receivable

Current Liabilities - **Current liabilities** are obligations that are **payable within one year**.

Examples: Creditors, Bills Payable, Outstanding Expenses, Short-term Loans

(c) Reserves and Provisions

Reserves - **Reserves** are amounts **appropriated out of profits** to strengthen the financial position or for future use.

Examples: General Reserve, Capital Reserve

Provisions - **Provisions** are amounts **set aside out of profits** to meet a **known liability** or expected loss.

Examples: Provision for Bad Debts, Provision for Depreciation, Provision for Tax

(d) Contingent Assets and Contingent Liabilities

Contingent Assets - **Contingent assets** are **possible assets** that may arise in the future depending on the occurrence of an uncertain event.

Example: Claim for compensation under a lawsuit likely to be won (*Usually not shown in the balance sheet, only disclosed if necessary.*)

Contingent Liabilities - **Contingent liabilities** are **possible obligations** that may arise in the future depending on an uncertain event.

Examples: Liability for bills discounted, Guarantee given to a bank, Pending legal case against the firm

Q11. What is the purpose of preparing cash flow statement ? Explain the three broad headings under which cash inflows and cash outflows are reported while preparing cash flow statement.

A **Cash Flow Statement** shows the **inflows and outflows of cash and cash equivalents** of a business during a particular accounting period. **Purpose / Objectives:**

- To know the **cash position** of the firm
- To assess the firm's **ability to generate cash**
- To help in **short-term financial planning**
- To evaluate **liquidity and solvency**
- To understand reasons for **difference between profit and cash**
- To help management, investors and creditors in **decision-making**

Three Broad Headings of Cash Flow Statement - Cash flows are classified under the following **three activities**:

1. Cash Flow from Operating Activities - These are cash flows arising from **main business operations**.

Cash Inflows: Cash received from customers. Cash received as commission, fees, etc.

Cash Outflows: Cash paid to suppliers. Cash paid to employees. Cash paid for operating expenses. Income tax paid Shows whether the firm can **generate sufficient cash from its core operations**.

2. Cash Flow from Investing Activities - These relate to **purchase and sale of long-term assets and investments**.

Cash Inflows: Sale of fixed assets. Sale of investments. Interest or dividend received (in some cases)

Cash Outflows: Purchase of fixed assets. Purchase of investments. Loans given to others Indicates the firm's **investment strategy and growth**.

3. Cash Flow from Financing Activities - These relate to **raising and repayment of capital**.

Cash Inflows: Issue of shares. Issue of debentures. Raising long-term loans

Cash Outflows: Redemption of shares or debentures, Repayment of loans, Payment of dividend Shows how the firm **finances its operations and growth**.

Q12. The quality of analysis is dependent upon the quality of information depicted by the financial statements.” Do you agree?

Yes, I **fully agree** with the statement.

Explanation of the Statement - The statement **“The quality of analysis is dependent upon the quality of information depicted by the financial statements”** means that **financial analysis can be reliable and meaningful only when the financial statements are accurate, complete and prepared according to sound accounting principles**.

Reasons in Support of the Statement

- 1. Accuracy of Financial Data**
 - Financial analysis uses figures from financial statements.
 - **Incorrect accounting records** lead to **wrong ratios and trends**.
- 2. Accounting Policies and Estimates**
 - Different methods of depreciation, stock valuation, etc., affect profits and assets.
 - Poor-quality policies reduce the **comparability and reliability** of analysis.
- 3. Effect of Window Dressing**
 - Manipulation of accounts may show a **false financial position**.
 - Analysis based on such statements gives **wrong results**.
- 4. Completeness and Disclosure**
 - Inadequate disclosure hides important facts.
 - Proper disclosure improves the **usefulness of analysis**.
- 5. Compliance with Accounting Standards**
 - Statements prepared as per accounting standards ensure **uniformity and credibility**.
 - Non-compliance reduces the value of financial analysis.

Q13. High current ratio may also indicate lower efficiency in assets utilisation.” Do you agree? Justify your answer.

Yes, I **agree** with the statement.

Explanation - The **current ratio** is calculated as:
$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

It measures the firm's **short-term liquidity**. A ratio of **2 : 1** is traditionally considered satisfactory. However, a **very high current ratio** does not always mean a strong financial position.

Reasons :

- 1. Excess Inventory** - Large stock levels increase current assets. This may indicate **slow-moving or obsolete inventory**, leading to blocking of funds.
- 2. High Debtors Balance** - Excessive credit sales increase debtors. Indicates **inefficient credit and collection policy**.
- 3. Idle Cash and Bank Balance** - Too much cash shows **poor cash management**. Idle cash earns **no return**.
- 4. Over-Conservative Working Capital Policy** - Maintaining unnecessary working capital increases **carrying cost**. Funds could be used for **productive investments**.
- 5. Lower Return on Investment** - Excess current assets reduce overall **profitability**. Indicates **inefficient utilisation of assets**.

Q14. The financial goal of a firm should be to maximise profits and net wealth.” Do you agree with this statement? Justify.
This statement is **partly correct**. I do not fully agree that the financial goal of a firm should be only to maximise profits; rather, the **main objective should be maximisation of net wealth (shareholders’ wealth)**.

Justification

- 1. Limitations of Profit Maximisation** - Profit maximisation alone is **not a sound financial goal** because:
- **Ignores time value of money** - ₹1 earned today is more valuable than ₹1 earned in the future.
 - **Ignores risk and uncertainty** - High profits may involve **high risk**, which may endanger the firm’s future.
 - **Short-term approach** - Focus on immediate profits may harm **long-term growth and stability**.
 - **Profit is ambiguous** - Different accounting methods may show **different profit figures**.
- 2. Superiority of Wealth Maximisation** - **Wealth maximisation** refers to **maximising the market value of the firm’s shares**, i.e., net wealth of owners. It is a **better financial goal** because:
- Considers **time value of money**
 - Considers **risk and return**
 - Focuses on **long-term value creation**
 - Reflects true performance through **market valuation**
 - Balances interests of owners and the firm’s sustainability
- 3. Relationship Between Profit and Wealth**
- Profits are important as they are a **means to achieve wealth**, not an end.
 - Consistent and quality profits lead to **increase in shareholders’ wealth**.

Q15. Treasury management mainly deals with working capital management and financial risk management.” Discuss.
Yes, I agree with the statement. **Treasury management** in a modern organisation is mainly concerned with **working capital management** and **financial risk management**, though its role is wider.

Meaning of Treasury Management - **Treasury management** refers to the management of the firm’s **cash, liquidity, funding, investments and financial risks** so as to ensure **availability of funds at the right time and at minimum cost**.

Treasury Management and Working Capital Management - Treasury management plays a **key role** in managing short-term funds and liquidity.

Key Functions:

- **Cash management** – maintaining optimum cash balance
- **Receivables management** – speeding up collections
- **Payables management** – timing of payments
- **Inventory financing** – arranging short-term funds
- **Short-term investments** of surplus funds

All these are **core elements of working capital management**, showing that treasury mainly focuses on **day-to-day fund requirements**.

Treasury Management and Financial Risk Management - Treasury management also deals with **identifying and controlling financial risks** arising from market uncertainties.

Major Financial Risks Managed:

- **Interest rate risk** – fluctuations in borrowing and lending rates
- **Foreign exchange risk** – risk due to changes in currency rates
- **Liquidity risk** – inability to meet short-term obligations
- **Credit risk** – risk of default by counterparties

Tools Used:

- Hedging through **forwards, futures, swaps and options**
- Diversification of funding sources
- Monitoring exposure limits

Effective treasury management ensures **financial stability and risk control**.

Other Areas Covered by Treasury Management - Besides the above two main areas, treasury management also includes:

- **Raising short-term and long-term finance**
- **Relationship with banks and financial institutions**
- **Compliance with financial regulations**
- **Optimising cost of capital**

Q16. What will be the effect of the following changes on the level of the firm’s receivables? (i) Recession (ii) Production and selling cost increases (iii) Interest rate increases (iv) The firm changes its credit terms from “2/10, net 30” to “3/10, net 30”.
Effect of Changes on the Level of Firm’s Receivables

(i) Recession - Effect: Receivables increase

Reason:

- Sales slow down and customers face cash shortages
- Customers delay payments
- More credit sales and slower collections increase **debtors**

(ii) Increase in Production and Selling Cost - Effect: Receivables decrease (generally)

Reason:

- Firm may increase selling price to cover higher costs
- Higher prices reduce demand and credit sales
- Lower sales volume results in **lower receivables** (*However, if firm relaxes credit to maintain sales, receivables may increase.*)

(iii) Increase in Interest Rate - Effect: Receivables decrease

Reason:

- Cost of financing receivables increases
- Firm adopts **stricter credit policy**
- Customers also avoid credit due to high interest burden
- Result is lower level of receivables

(iv) Change in Credit Terms from “2/10, net 30” to “3/10, net 30” - Effect: Receivables decrease

Reason:

- Higher cash discount (3% instead of 2%) encourages **early payment**
- More customers take advantage of discount
- Faster collection reduces **outstanding receivables**

Q17. What is the need for analysis and interpretation of financial statements? Who are the main users of such analysis and interpretation? Also state its limitations.

Need for Analysis and Interpretation of Financial Statements

Financial statements alone—like the balance sheet, income statement, or cash flow statement—provide raw data. **Analysis and interpretation** are needed to understand the financial health and performance of a business. The main reasons are:

1. **Assess Financial Health:** To know the company’s solvency, liquidity, and profitability. Example: Whether the company can pay its short-term debts or is earning adequate profits.
2. **Evaluate Performance:** To compare actual performance against past performance, budgets, or industry standards. Example: Comparing current year profit with previous years or competitors.
3. **Aid in Decision Making:** Management uses the analysis to make informed operational, investment, or financing decisions. Example: Deciding whether to expand, invest in new projects, or reduce costs.
4. **Attract Investors and Lenders:** Helps external stakeholders evaluate risk and return. Example: Banks analyze financial statements before giving loans.
5. **Detect Weaknesses and Opportunities:** Reveals areas of inefficiency or potential growth. Example: High inventory levels may indicate overstocking or slow sales.

Main Users of Financial Statement Analysis

1. **Internal Users:**
 - **Management:** For planning, controlling, and decision-making.
 - **Employees:** To assess company stability and growth prospects.
2. **External Users:**
 - **Investors/Shareholders:** To decide on investing, holding, or selling shares.
 - **Creditors/Lenders:** To assess creditworthiness and repayment capacity.
 - **Government/Regulatory Authorities:** For taxation and compliance purposes.
 - **Suppliers:** To decide on credit terms.
 - **Analysts & Researchers:** To evaluate financial trends.

Limitations of Financial Statement Analysis

1. **Based on Historical Data:** Analysis reflects past performance and may not predict future results accurately.
2. **Ignores Qualitative Factors:** Financial statements do not account for factors like market conditions, management quality, or brand value.
3. **Differences in Accounting Policies:** Different companies may use different accounting methods, making comparisons difficult.
4. **Inflation Impact:** Historical costs in financial statements may be distorted by inflation.
5. **Window Dressing:** Companies may manipulate figures to present a better financial position than reality.
6. **Limited Scope:** Does not capture all financial risks, such as economic or industry-specific risks.

Q18. What is Balance Sheet? Explain the main contents of balance sheet and give its proforma.

A **Balance Sheet** is a financial statement that provides a snapshot of a company's financial position at a specific point in time. It shows what the company **owns (assets)**, **owes (liabilities)**, and the **owner's equity**. The main purpose of a balance sheet is to help stakeholders (like management, investors, and creditors) understand the company's financial health.

Main Contents of a Balance Sheet - The balance sheet is divided into **two main sections: Assets and Liabilities & Equity**. These two sides must always balance, following the basic accounting equation:

Assets = Liabilities + Owner's Equity

1. Assets - Assets are resources owned by the company which have economic value. They are classified as:

Current Assets: Assets that can be converted into cash within one year. Examples: Cash, Accounts Receivable, Inventory, Short-term Investments.

Non-Current (Fixed) Assets: Long-term resources used in business operations. Examples: Land, Buildings, Machinery, Vehicles, Intangible Assets like Patents.

2. Liabilities - Liabilities are obligations or debts the company owes to others. They are classified as:

Current Liabilities: Obligations due within one year. Examples: Accounts Payable, Short-term Loans, Accrued Expenses.

Non-Current (Long-term) Liabilities: Obligations due after one year. Examples: Long-term Loans, Bonds Payable, Lease Obligations.

3. Owner's Equity (Shareholders' Equity) - Owner's equity represents the residual interest in the company after deducting liabilities from assets. Examples: Share Capital, Retained Earnings, Reserves & Surplus.

Pro Forma of a Balance Sheet

Balance Sheet of XYZ Company as on [Date]	Amount (₹)
Assets	
Current Assets	
Cash and Cash Equivalents	
Accounts Receivable	
Inventory	
Short-term Investments	
Total Current Assets	
Non-Current Assets	
Property, Plant, and Equipment	
Intangible Assets	
Long-term Investments	
Total Non-Current Assets	
Total Assets	
Liabilities and Equity	
Current Liabilities	
Accounts Payable	
Short-term Loans	
Accrued Expenses	
Total Current Liabilities	
Non-Current Liabilities	
Long-term Loans	
Bonds Payable	
Total Non-Current Liabilities	
Owner's Equity	
Share Capital	
Retained Earnings	
Reserves & Surplus	
Total Equity	
Total Liabilities & Equity	

Q19. Explain the different types of investment decisions. Describe the stages in capital budgeting process and discuss the importance of capital investment decisions.

Investment decisions refer to the decisions a business makes regarding **allocation of funds** to long-term assets to maximize returns. They are also called **capital budgeting decisions**. There are mainly **three types**:

- Capital Expenditure Decisions (Fixed Asset Investment Decisions):** Decisions related to investment in **long-term assets** like land, building, machinery. Examples: Buying a new machine, constructing a factory, or acquiring a patent.
- Working Capital Investment Decisions (Current Asset Decisions):** Decisions about **short-term assets** like cash, inventory, and receivables. Examples: How much cash to keep on hand, how much inventory to maintain, credit terms to customers.
- Portfolio Investment Decisions (Financial Investment Decisions):** Decisions about investing in **financial assets** like stocks, bonds, or mutual funds.

Stages in the Capital Budgeting Process

Capital budgeting is the process of evaluating and selecting long-term investments. It typically involves the following stages:

- Identification of Investment Opportunities:** Finding potential projects or investment options. Example: Expansion of production line, research & development.
- Evaluation of Investment Proposals:** Assessing the **costs and benefits** of each project. Techniques include **Payback Period, Net Present Value (NPV), Internal Rate of Return (IRR)**, etc.
- Selection of Investment:** Choosing the best project(s) based on **financial feasibility and strategic alignment**.
- Financing the Investment:** Deciding how to **fund the project**: through equity, debt, or retained earnings.
- Implementation of the Project:** Executing the investment plan and deploying resources.
- Performance Review and Monitoring:** Comparing actual results with expected outcomes and taking corrective measures if needed.

Importance of Capital Investment Decisions

- Long-term Impact:** These decisions affect the **future growth and profitability** of the business.
- High Risk:** Investments involve large amounts and uncertain returns; poor decisions can lead to financial loss.
- Resource Allocation:** Ensures **optimal use of scarce resources** for maximum returns.
- Competitive Advantage:** Strategic investments can enhance efficiency, technology, and market position.
- Financial Planning:** Helps in planning funding requirements and cash flow management.
- Wealth Maximization:** Proper capital investment decisions aim at **maximizing shareholders' wealth**.

Q20. Explain the relevance of cost of capital in long-term investment and financing decisions. Discuss the different problems in its determination.

Cost of capital is the **rate of return a firm must earn on its investment to maintain its market value and attract funds**. It acts as a benchmark for evaluating investment proposals and financing options. Its relevance is significant in both **investment** and **financing decisions**.

1. In Long-Term Investment Decisions (Capital Budgeting)

- Benchmark for Project Evaluation:** Used as the **discount rate** in methods like **Net Present Value (NPV)** and **Internal Rate of Return (IRR)**. A project should be accepted if its expected return exceeds the cost of capital.
- Risk Assessment:** Reflects the minimum return required by investors, helping to **assess the risk-reward trade off**.
- Optimal Resource Allocation:** Helps in **selecting projects that maximize shareholder wealth** by ensuring funds are invested efficiently.

2. In Financing Decisions (Capital Structure)

- Choosing Sources of Finance:** Helps in deciding the **mix of debt, equity, and preference shares**. The firm should choose the source with the **lowest overall cost** to minimize financing expenses.
- Maintaining Financial Stability:** High cost of capital can increase **financial burden**, while too much low-cost debt increases **financial risk**. Proper balance ensures **profitability without excessive risk**.
- Performance Evaluation:** Serves as a **benchmark for return on investments**, aiding management in evaluating performance.

Problems in Determining Cost of Capital

- Estimating Cost of Equity:** Equity return expectations are subjective and depend on **market conditions**. Dividend growth and market price may fluctuate, making estimation uncertain.
- Estimating Cost of Debt:** Interest rates vary over time, and tax benefits must be considered for after-tax cost.
- Estimating Cost of Preference Shares:** Dividend obligations are fixed, but market fluctuations can make calculation difficult.
- Determining Capital Structure Weights:** Choosing the proportion of debt, equity, and preference shares for **weighted average cost of capital (WACC)** is not straightforward.
- Risk Adjustment:** Different projects have different risks; using a **single cost of capital** may not reflect project-specific risk accurately.
- Inflation and Market Conditions:** Changing inflation rates, interest rates, and economic conditions affect cost of capital.
- Non-Financial Factors:** Management may consider strategic objectives, social goals, or political factors, which are hard to quantify.

Q21. What is the significance of Working Capital Management? How will you determine the amount of day to day working capital requirement in a large business?

Working capital management refers to the management of a firm's **current assets and current liabilities** to ensure smooth business operations and maintain adequate liquidity. Proper working capital management is crucial for the financial health of a business. Its significance includes:

1. **Ensures Liquidity:** Maintains enough cash to meet day-to-day obligations like salaries, bills, and short-term debts.
2. **Smooth Operations:** Adequate working capital ensures uninterrupted production and sales activities.
3. **Profitability:** Efficient management reduces idle funds and inventory costs, improving profitability.
4. **Avoids Financial Distress:** Prevents insolvency or delays in payment to suppliers, employees, and creditors.
5. **Optimizes Investment in Current Assets:** Helps balance the investment in inventory, receivables, and cash to avoid over or under-utilization.
6. **Supports Growth:** Sufficient working capital allows the firm to take advantage of business opportunities, such as bulk purchases or market expansion.

To determine the **working capital requirement** in a large business, the following steps are typically followed:

1. Estimate Current Assets Needed

- **Cash:** For daily expenses (salaries, utilities, suppliers).
- **Accounts Receivable:** Based on credit sales policies and expected collection period.
- **Inventory:** Raw materials, work-in-progress, and finished goods to maintain smooth production and sales.

2. Estimate Current Liabilities

- **Accounts Payable:** Expected payments to suppliers.
- **Accrued Expenses:** Wages, taxes, and other short-term obligations.

3. Calculate Net Working Capital Requirement

$$\text{Working Capital Requirement} = \text{Current Assets Required} - \text{Current Liabilities Expected}$$

Methods to Estimate Working Capital Requirement in Large Business

1. Percentage of Sales Method:

- Working capital requirement is estimated as a **percentage of projected sales**.
- Example: If annual sales are ₹10 crore and working capital is typically 15% of sales:

$$WC = 10,00,00,000 \times 15\% = ₹1.5 \text{ crore}$$

Operating Cycle Method (Cash Conversion Cycle):

- Calculate **time taken to convert cash invested in inventory into cash received from sales**.
- Working capital requirement depends on **duration of inventory, receivables, and payables**.

$$WC = \text{Daily Expenses} \times \text{Operating Cycle in Days}$$

Forecasting Method:

- Project **future receipts and payments** for a period and determine the net requirement.
- Useful for seasonal businesses with fluctuating demand.

Q22. Define the following and state how each can be determined: (a) Re-order point (b) Minimum inventory level (c) Maximum inventory level (d) Safety inventory level

(a) Re-order Point (ROP) - The **re-order point** is the inventory level at which a new order should be placed to replenish stock before it runs out.

Determination: Re-order Point = Average Daily Consumption $\times$ Lead Time (in days)

- **Average Daily Consumption:** Units used per day.
- **Lead Time:** Time taken by the supplier to deliver the order.

Example: If daily consumption = 50 units and lead time = 10 days:

$$ROP = 50 \times 10 = 500 \text{ units}$$

(b) Minimum Inventory Level - The **minimum inventory level** is the lowest stock level that a company can safely maintain to avoid stock-outs.

Determination: Minimum Inventory Level = Safety Stock OR, in a more practical approach:

$$\text{Minimum Inventory} = (\text{Average Daily Consumption} \times \text{Minimum Lead Time})$$

It acts as a buffer against **unexpected demand or supply delays**.

(c) Maximum Inventory Level - The **maximum inventory level** is the **highest stock** that a company can hold to avoid overstocking, excessive storage cost, or obsolescence.

Determination: Maximum Inventory Level = Re-order Point + Economic Order Quantity (EOQ) — (Minimum Stock)

- **Economic Order Quantity (EOQ):** Optimal order quantity that minimizes total inventory costs.

(d) Safety Inventory Level (Safety Stock) - **Safety stock** is the **extra inventory** kept to safeguard against **uncertainty in demand or supply delays**.

Determination:

1. Simple approach: Safety Stock = Maximum Daily Usage $\times$ Maximum Lead Time — Average Usage during Lead Time
 2. Statistical approach: Safety Stock = $Z \times \sigma_{LT}$
- Z = Desired service level factor (from standard normal distribution)
 - σ_{LT} = Standard deviation of demand during lead time

Q23. Explain the scope of accounting and discuss how accounting information is useful for various stakeholders of business.

Scope of Accounting - The **scope of accounting** refers to the **areas and activities covered by accounting**. It shows how wide the subject of accounting is in business.

1. Recording of Transactions

Accounting records all **financial transactions** of a business in a systematic manner through journals and books of accounts.

2. Classification of Data

Recorded transactions are **classified** into different accounts like assets, liabilities, income, and expenses using ledger accounts.

3. Summarising Financial Information

Accounting **summarises data** by preparing Trial Balance, Trading Account, Profit & Loss Account, and Balance Sheet.

4. Analysis and Interpretation

Accounting helps in **analysing financial statements** to know profitability, liquidity, and financial position of the business.

5. Budgeting and Forecasting

Accounting assists management in **planning future activities** through budgets, cost analysis, and financial forecasts.

6. Decision Making

Accounting information supports **managerial decisions** such as pricing, investment, expansion, and cost control.

7. Legal and Tax Compliance

Accounting helps in meeting **legal requirements**, audit needs, and **calculation of taxes**.

Usefulness of Accounting Information for Various Stakeholders - Accounting information is useful to many people connected with the business:

1. Management - Helps in **planning, controlling, and decision-making** - Evaluates performance and efficiency of operations

2. Owners / Shareholders - Know **profitability and financial position** - Decide about **investment, dividend, or withdrawal**

3. Investors - Assess **risk and return** before investing - Compare performance of different companies

4. Creditors and Lenders - Judge **creditworthiness and repayment capacity** - Decide whether to grant loans or credit

5. Employees - Know **job security and growth prospects** - Useful during wage negotiations and bonus decisions

6. Government - Helps in **tax assessment** - Used for regulation, policy making, and economic planning

7. Customers - Ensure **stability and continuity** of the business - Important for long-term supply relationships

8. General Public - Accounting data helps in understanding **economic contribution** of the business - Useful for social and economic studies

Q24. Explain the following accounting concepts : (a) Money Measurement Concept (b) Cost Concept (c) Going Concern Concept (d) Accounting Period Concept

(a) Money Measurement Concept

According to the **Money Measurement Concept**, **only those transactions and events which can be expressed in monetary terms are recorded in accounting**.

- Non-monetary events like employee skill, honesty, or efficiency are **not recorded**, even though they are important.
- This concept ensures **uniformity and objectivity** in accounting records.

Example: Purchase of machinery for ₹5,00,000 is recorded, but good relations with customers are not recorded.

(b) Cost Concept

The **Cost Concept** states that **assets are recorded in the books at their original purchase cost**, not at their current market value.

- The value remains the same year after year, except for depreciation.
- This concept avoids **subjective valuation** of assets.

Example: Land purchased for ₹10,00,000 will be shown in the balance sheet at ₹10,00,000, even if its market value becomes ₹15,00,000.

(c) Going Concern Concept

According to the **Going Concern Concept**, it is assumed that **the business will continue to operate for a long period and is not likely to close in the near future**.

- Assets are valued at cost and not at liquidation value.
- Depreciation is charged assuming long-term use of assets.

Example: Machinery is depreciated over its useful life because the business is expected to continue.

(d) Accounting Period Concept

The **Accounting Period Concept** states that **the life of a business is divided into equal time periods** (usually one year) to measure profit or loss.

- It helps in preparing **periodic financial statements**.
- Income and expenses are recorded for the relevant period only.

Example: A business prepares its Profit and Loss Account for the year ending 31st March every year.

Q25. Explain the use of ratios as diagnostic tool. Discuss and evaluate various ‘Solvency Ratios’.

Ratios as a Diagnostic Tool

Use of Ratios as a Diagnostic Tool

1. **Analysis of Financial Position** - Ratios help to judge liquidity, solvency, profitability, and efficiency of the firm.
2. **Identification of Problems** - Unfavourable ratios indicate problems like high debt, low liquidity, or poor profitability.
3. **Trend Analysis** - Comparison of ratios over different years helps in finding **improving or declining trends**.
4. **Inter-firm Comparison** - Ratios allow comparison with **other firms in the same industry**.
5. **Decision Making** - Management, investors, and creditors use ratios for **investment, lending, and policy decisions**.
6. **Performance Evaluation** - Ratios measure how efficiently resources are being used.

Solvency Ratios - **Solvency ratios** measure the **long-term financial stability** of a business and its **ability to meet long-term obligations**.

1. Debt–Equity Ratio

$$\text{Formula: Debt–Equity Ratio} = \frac{\text{Long-term Debt}}{\text{Shareholders' Funds}}$$

Significance: Shows the relationship between borrowed funds and owners’ funds. - Lower ratio = greater financial safety.

Evaluation: - High ratio indicates **high financial risk**. - Ideal ratio is generally **2 : 1** (may vary by industry).

2. Proprietary Ratio

$$\text{Formula: Proprietary Ratio} = \frac{\text{Shareholders' Funds}}{\text{Total Assets}}$$

Significance: - Shows the extent to which assets are financed by owners. - Higher ratio indicates **strong financial position**.

Evaluation: - Low ratio means heavy dependence on external funds. - Higher ratio is preferred by creditors.

3. Total Debt Ratio

$$\text{Formula: Total Debt Ratio} = \frac{\text{Total Debt}}{\text{Total Assets}}$$

Significance: - Measures the proportion of assets financed by outsiders.

Evaluation: - High ratio indicates **greater insolvency risk**. - Lower ratio shows better long-term solvency.

4. Interest Coverage Ratio

$$\text{Formula: Interest Coverage Ratio} = \frac{\text{EBIT}}{\text{Interest Expense}}$$

Significance: - Shows the ability of the firm to pay interest on long-term loans.

Evaluation: - Higher ratio means **greater safety for lenders**. - Low ratio indicates risk of default.

5. Capital Gearing Ratio

$$\text{Formula: Capital Gearing Ratio} = \frac{\text{Fixed Interest Bearing Funds}}{\text{Equity Shareholders' Funds}}$$

Significance & Evaluation: - High gearing means more debt financing. - Low gearing shows conservative financial structure.

Q26. What are the motives for holding cash ? Explain the Baumol’s model for optimum cash balance.

A business holds cash to meet its **various needs**. The main motives are as follows:

1. Transaction Motive

- Cash is held to meet **day-to-day expenses** like wages, rent, taxes, and purchase of raw materials.
- Helps in smooth running of business operations.

2. Precautionary Motive

- Cash is kept to meet **unexpected situations** such as sudden increase in expenses, delay in receipts, or emergencies.
- Provides safety against uncertainty.

3. Speculative Motive

- Cash is held to take advantage of **profitable opportunities**, such as buying raw materials at low prices or investing when interest rates are favourable.

4. Compensation Motive

- Minimum cash balance is maintained as required by **banks** for providing banking services and credit facilities.

Baumol’s Model for Optimum Cash Balance - Baumol’s Model is similar to the **EOQ (Economic Order Quantity) model of inventory**. It determines the **optimum level of cash balance** that minimises the total cost of holding cash.

Assumptions of Baumol’s Model

1. Cash payments occur at a **steady and predictable rate**.
2. Cash receipts are known and certain.
3. Opportunity cost of holding cash (interest) is constant.
4. Transaction cost of converting securities into cash is fixed.
5. No shortage of cash is allowed.

Costs Considered in the Model

1. **Transaction Cost** - Cost incurred in converting marketable securities into cash.
2. **Opportunity Cost** - Loss of interest due to holding idle cash instead of investing it.

$$\text{Formula: Optimum Cash Balance (C)} = \sqrt{\frac{2bT}{i}}$$

Where: b = Transaction cost per conversion, T = Total cash requirement for the period, i = Opportunity cost (interest rate)

Q27. Explain the basic four decisions which a Finance Manager has to take. Discuss the objectives of financial management and explain why wealth maximization is superior to profit maximization.

A **Finance Manager** plays a key role in managing the funds of a business. The **four basic financial decisions** are as follows:

1. Investment Decision (Capital Budgeting Decision) - This decision relates to **investment in long-term assets** like machinery, land, and technology.

- It involves selection of profitable projects.
- Requires analysis of risk and return.
- Wrong investment decision may cause heavy losses.

2. Financing Decision (Capital Structure Decision) - This decision concerns **raising funds** for the business.

- Funds may be raised through equity shares, preference shares, debentures, or loans.
- The finance manager decides the **best mix of owned and borrowed funds**.
- Aim is to minimize cost of capital and financial risk.

3. Dividend Decision - This decision relates to **distribution of profits**.

- How much profit should be distributed as dividend and how much should be retained.
- Depends on earnings, liquidity, future plans, and shareholders’ expectations.

4. Liquidity Decision (Working Capital Decision) - This decision deals with **management of short-term funds**.

- Ensures availability of cash to meet day-to-day expenses.
- Proper liquidity avoids insolvency and improves creditworthiness.

Objectives of Financial Management - The main objectives of financial management are:

1. Profit Maximization - Earn maximum profit in the short run. - Focuses on higher earnings.

Limitations: Ignores risk, time value of money, and shareholders’ wealth.

2. Wealth Maximization (Main Objective) - Maximizes **market value of shares**. - Focuses on long-term growth and stability.

Why Wealth Maximization is Superior to Profit Maximization

Basis	Profit Maximization	Wealth Maximization
Time Value of Money	Ignored	Considered
Risk	Ignored	Considered
Time Period	Short-term	Long-term
Shareholder Value	Not emphasized	Primary focus
Market Value	Not considered	Maximized

Reasons for Superiority of Wealth Maximization:

1. **Considers Time Value of Money** - Future earnings are discounted to present value.
2. **Considers Risk and Uncertainty** - Risky projects are evaluated carefully.
3. **Focuses on Shareholders’ Interest** - Increase in market price of shares increases owners’ wealth.
4. **Ensures Long-term Stability** - Encourages sustainable growth of the firm.

Q28. Discuss the objectives of inventory management. Explain the Economic Order Quantity (EOQ) method of inventory management.

Inventory management means planning and controlling raw materials, work-in-progress, and finished goods. The main objectives are:

1. Ensure Uninterrupted Production - Adequate stock of raw materials avoids **production stoppages**.

2. Avoid Overstocking - Excess inventory leads to **blocking of funds**, higher storage cost, and risk of damage or obsolescence.

3. Avoid Stock-out - Prevents loss of sales, goodwill, and customers due to **shortage of goods**.

4. Minimise Inventory Cost - Reduces carrying cost, ordering cost, and wastage.

5. Efficient Use of Working Capital - Proper inventory level ensures **optimum utilisation of funds**.

6. Price Stability - Bulk purchase at EOQ helps in **avoiding frequent price fluctuations**.

7. Improve Customer Service - Ensures timely supply of goods to customers.

Economic Order Quantity (EOQ) Method - EOQ is the **quantity of inventory to be ordered at a time** that minimises the **total cost of inventory**.

1. **Ordering Cost** - Cost of placing and receiving an order (paperwork, transport, inspection).
2. **Carrying (Holding) Cost** - Cost of storing inventory (warehouse rent, insurance, spoilage, interest).

$$\text{EOQ Formula - EOQ} = \sqrt{\frac{2AB}{C}}$$

Where: A = Annual demand (units), B = Ordering cost per order (₹), C = Carrying cost per unit per year (₹)

Assumptions of EOQ Model - Demand is **constant and known**. - Lead time is constant. - No stock-out situation. - Ordering and carrying costs are known and constant. - Purchase price per unit remains constant.

Advantages of EOQ - Minimises total inventory cost. - Avoids overstocking and under-stocking. - Simple and scientific method of inventory control.

Limitations of EOQ - Assumes constant demand which may not be realistic. - Ignores quantity discounts. - Not suitable where demand fluctuates widely.

Q29. Explain the following accounting concepts : (a) Business entity concept (b) Dual aspect concept (c) Accrual concept (d) Matching concept

- (a) Business Entity Concept** - The **Business Entity Concept** states that **the business is treated as a separate entity from its owner(s)**.
- Business transactions are recorded **separately** from personal transactions of the owner.
 - Only business income, expenses, assets, and liabilities are recorded in the books.
- Example:** If the owner withdraws cash for personal use, it is treated as **drawings**, not business expense.
- (b) Dual Aspect Concept** - According to the **Dual Aspect Concept**, **every business transaction has two aspects – a debit and a credit**.
- This concept is the basis of the **double-entry system of accounting**.
 - The accounting equation must always balance:

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

- Example:** If cash ₹50,000 is introduced as capital:
- Cash increases (asset)
 - Capital increases (owner’s equity)
- (c) Accrual Concept** - The **Accrual Concept** states that **income and expenses are recorded when they are earned or incurred**, not when cash is received or paid.
- It helps in determining **true profit or loss** of a period.
 - Outstanding and prepaid expenses are properly adjusted.
- Example:** Salary for March paid in April will be recorded as **expense of March**, not April.
- (d) Matching Concept** - The **Matching Concept** states that **expenses of a period should be matched with the revenue earned in the same period**.
- Helps in accurate measurement of profit.
 - Related to the accrual concept.
- Example:** Cost of goods sold is matched against sales revenue of the same year.

Q30. What is an ‘Annual Report’? Explain the disclosures made in annual report and discuss the usefulness of information in annual report to internal and external users.

- An **Annual Report** is a **comprehensive document** prepared by a company at the end of every financial year and presented to its shareholders.
- It contains **financial and non-financial information** about the company’s performance and position.
 - It shows how the company has used shareholders’ funds during the year.
 - In India, it is prepared as per the **Companies Act** and accounting standards.

Disclosures Made in an Annual Report - The main disclosures in an annual report are:

1. Directors’ Report - Overview of company’s operations and performance - Dividend recommendation - Future plans and policies

2. Auditors’ Report - Independent opinion on **true and fair view** of financial statements - Compliance with accounting standards

3. Financial Statements - Balance Sheet - Profit and Loss Account - Cash Flow Statement - Notes to Accounts

4. Management Discussion and Analysis (MD&A) - Business environment and industry outlook - Risks and opportunities - Operational and financial performance

5. Corporate Governance Report - Composition of Board of Directors - Committees and their functions - Compliance with governance norms

6. Accounting Policies - Methods used for depreciation, valuation of inventory, etc.

7. Other Disclosures - Shareholding pattern - Related party transactions - Contingent liabilities - CSR activities (if applicable)

Usefulness of Annual Report Information

- A. Usefulness to Internal Users**
- 1. Management** - Helps in **planning, control, and decision making** - Evaluates past performance
- 2. Employees** - Know company’s **financial strength and stability** - Useful for wage negotiations and job security
- B. Usefulness to External Users**
- 1. Shareholders and Investors** - Assess **profitability, growth, and risk** - Decide about buying, holding, or selling shares
- 2. Creditors and Lenders** - Judge **repayment capacity and creditworthiness**
- 3. Government** - Useful for **tax assessment and regulation**
- 4. Customers and Suppliers** - Assess **continuity and reliability** of business
- 5. General Public and Analysts** - Understand company’s **economic contribution** - Useful for research and analysis

Q31. What are the reasons for holding inventory? Explain the traditional techniques of inventory control.

Firms hold inventory to ensure **smooth production and sales operations**. The main reasons are:

1. To Meet Demand - Inventory is kept to **meet customer demand** promptly and avoid loss of sales.

2. To Ensure Continuous Production - Adequate stock of raw materials avoids **interruption in production** due to shortage.

3. To Take Advantage of Bulk Purchase - Buying in large quantities may result in **quantity discounts** and lower ordering cost.

4. To Meet Uncertainty - Inventory protects the firm against **uncertain demand, delay in supply, and price fluctuations**.

5. To Avoid Stock-out Cost - Stock-out may cause loss of customers, goodwill, and future sales.

6. To Speculate Price Changes - Firms may hold inventory to gain from **future price increases**.

7. To Reduce Ordering Cost - Holding inventory reduces the **frequency of placing orders**.

Traditional Techniques of Inventory Control

- 1. EOQ (Economic Order Quantity)**
- Determines the **most economical order size**.
 - Balances ordering cost and carrying cost.
- 2. Stock Levels** - Fixing different stock levels helps in avoiding over-stocking and under-stocking.
- **Re-order Level** – Level at which new order is placed
 - **Minimum Level** – Lowest stock to be maintained
 - **Maximum Level** – Highest stock to be maintained
 - **Danger Level** – Very low stock level indicating emergency purchase
- 3. ABC Analysis**
- Inventory is divided into three categories: **A items** – High value, low quantity, **B items** – Medium value and quantity, **C items** – Low value, high quantity
 - Helps in focusing control on **important items**.
- 4. VED Analysis**
- Used mainly in **spare parts and hospitals**.
 - Items classified as: **V (Vital)**, **E (Essential)**, **D (Desirable)**
- 5. Inventory Turnover Ratio**
- Measures how quickly inventory is converted into sales.

$$\text{Inventory Turnover Ratio} = \frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}$$

- 6. Two-Bin System**
- Inventory stored in two bins.
 - When first bin is empty, order is placed and second bin is used.

Q32. Briefly explain the various terms of payments adapted for business transactions. Explain credit policy variables and discuss the quantitative impact of relaxing collection efforts and increasing cash discount on profits.

- Terms of payment** specify **when and how payment is to be made** by the buyer to the seller. Common terms are:
- 1. Cash Payment** - Payment is made **immediately at the time of purchase**. - No credit is allowed.
- 2. Advance Payment** - Payment is made **before delivery of goods**. - Common in customised or high-risk transactions.
- 3. Credit Payment** - Buyer is allowed to pay **after a certain period**. - Example: “30 days credit”.
- 4. Cash Discount** - Discount allowed for **early payment**. - Example: *2/10, net 30*
- 2% discount if paid within 10 days
 - Full payment due in 30 days
- 5. Instalment Payment** - Total amount is paid in **equal periodic instalments**. - Used for costly goods or long-term contracts.
- 6. Trade Credit** - Credit extended by **suppliers to customers** in normal business transactions.
- Credit Policy Variables** - A firm’s **credit policy** consists of the following variables:
- 1. Credit Standards** - Conditions for granting credit to customers. - Relaxed standards increase sales but also bad debts.
- 2. Credit Period** - Time allowed to customers for making payment. - Longer credit period increases receivables and risk.
- 3. Cash Discount** - Reduction in price for early payment. - Encourages faster collection of dues.
- 4. Collection Efforts** - Steps taken to collect overdue payments. - Includes reminders, follow-ups, and legal action.

Quantitative Impact on Profits

- A. Relaxing Collection Efforts**
- Effects:** - Increase in average collection period - Increase in receivables and investment in working capital - Higher bad debts - Increase in interest and administrative costs
- Impact on Profit:** Generally **reduces profit**, unless additional sales compensate for higher costs.
- B. Increasing Cash Discount**
- Effects:** - Faster collection of receivables - Reduction in bad debts - Lower investment in working capital - Cost of discount increases
- Impact on Profit:** Profit may **increase** if savings from faster collection and lower bad debts **exceed the cost of discount**.